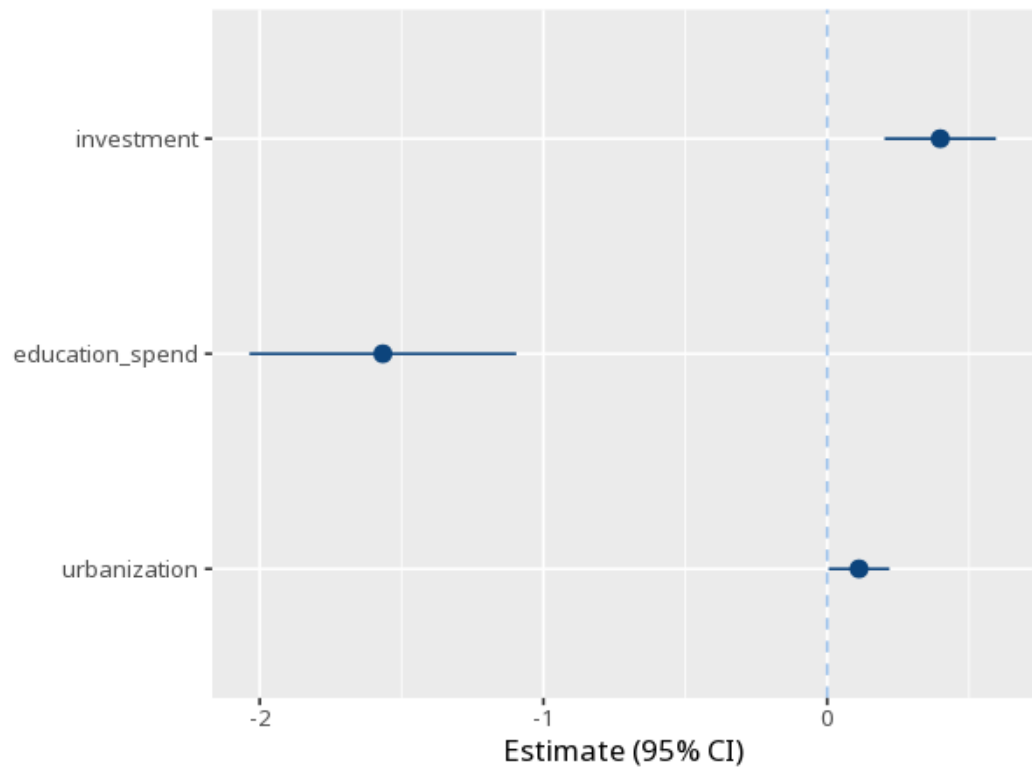


1 Random effects

	(1)
(Intercept)	0.13 (0.47) [−0.79, 1.06]
investment	0.40 (0.10) [0.20, 0.59]
education_spend	−1.57 (0.24) [−2.04, −1.10]
urbanization	0.11 (0.05) [0.00, 0.22]
Num.Obs.	100
N entities	10
R ²	0.93
R ² Adj.	0.93
Within R ²	.36
Between R ²	1.00
Overall R ²	.93



Like fixed effects but treats entity differences as random, allowing time-invariant predictors. Read each B/p as usual — but only trust this model if the Hausman test favours random over fixed effects. Method: R plm package (Croissant & Millo, 2008). Your significance threshold (α) is 0.05.

In a random-effects model, predictor investment gave $B=0.40$, $p < .001$.

Statistical basis: Random-effects (GLS) panel estimator (Croissant, Y., Millo, G. (2008). "Panel Data Econometrics in R: The plm Package." Journal of Statistical Software, 27(2), 1-43.).